

Deer velvet in South Korea (4th quarter 2022)

Reported on 12nd of January 2023

1 Quarantine statistics of deer velvet from major export countries¹

1.1 Dried velvet

Dried velvet (kg)								
Country	2015	2016	2017	2018	2019	2020	2021	2022
New Zealand	15,803	33,554	61,815	78,410	44,535	37,811	24,369	39,655
China	60,794	68,902	61,972	74,117	69,716	77,990	72,634	89,569
Russia	44,523	34,275	50,989	42,132	46,450	54,042	55,986	43,896
Hong Kong	14,500	23,115	11,293	15,402	17,828	13,701	22,372	23,835
Kazakhstan	2,035	1,390	1,081	1,270	701	2,354	1,428	2,097
Total	137,698	161,272	187,198	211,410	179,782	185,931	176,842	199,086

1.2 Frozen velvet

Frozen velvet (kg)								
Country	2015	2016	2017	2018	2019	2020	2021	2022
New Zealand	74,025	88,922	64,809	81,365	99,113	77,477	91,874	116,584
China	8	22	68	6	10		2	
Russia		3		3				
Total	74,067	88,985	64,900	81,380	99,124	77,477	91,877	116,591

1.3 Rolling year

Dried velvet (kg)			Frozen velvet (kg)		
Country	Jan 2020	Jan 2021	Country	Jan 2020	Jan 2021
	-	-		-	-
	Dec 2021	Dec 2022		Dec 2021	Dec 2022
New Zealand	24,369	39,655	New Zealand	91,874	116,584
China	72,634	89,569	China	1.6	
Russia	55,986	43,896	Russia		
Hong Kong	22,372	23,835	Hong Kong		

Kazakhstan	1,428	2,097	Kazakhstan		
Australia	45	32	Australia	0.5	1.4
USA	5	2	USA	0.5	0.8
Others	4		Others		4.7
Total	176,842	199,086	Total	91,877	116,591

2 Korean news

2.1 Proving the efficacy of traditional raw materials such as deer velvet, agarwood, and corn silk

At the session of the KFN International Conference sponsored by **Kwangdong Pharmaceutical**, research results were released to explore the potential for health functions of natural materials such as deer velvet, acorns, corn-silk, and raven wood fruits.

Studies have shown that deer velvet (scientific name: *Cervus elaphus* L.) can help improve fatigue and prostate. Kim Young-joon (Korea University) confirmed a 1.5-fold increase in treadmill exercise time in mice administered with **antifatigue and anti-inflammatory effects** of antifatigue complex extracts in mouse models caused by physical fatigue. The biochemical parameters related to fatigue were downgraded compared to the control group. Lee Yoo-hyun (Suwon University) said, "In a study titled '**Prostate Health Improvement Effect of Complex Extracts such as deer velvet and angelica** in Prostate Hyperbole Model,' the prostate ratio decreased significantly." In particular, the reduction effect was confirmed in the IPSS (International Prostate Symptom Score) test in the human body application test. Residual urination, cessation of urination, night urination, and life discomfort scores all showed significant improvement effects.



Kormedi.com 2022-10-24¹

2.2 MFDS, suspended and recalled the sales of the "Sanyang Sansam Nokyongbo"

The Ministry of Food and Drug Safety announced on the 28th that it has been confirmed that the product of Sanyang Sansam Nokyongbo (product type: liquid tea) manufactured by Korea Ginseng Manufacturing is **not compatible with the standard of bacterial water** and is suspending sales and collecting it. The product to be recalled is a product whose expiration date is August 23, 2024.

¹ <https://kormedi.com/1536608/%EB%85%B9%EC%9A%A9-%EC%B9%A8%ED%96%A5-%EC%98%A5%EC%88%98%EC%88%98%EC%88%98%EC%97%BC-%EB%93%B1-%EC%A0%84%ED%86%B5%EC%9B%90%EB%A3%8C-%ED%9A%A8%EB%8A%A5-%EC%9E%85%EC%A6%9D/>

The Ministry of Food and Drug Safety took measures to quickly retrieve the product, and consumers who purchased the product asked to stop eating and return it to the place of purchase.

(This product promoting it contain velvet from **Korean deer**.

<http://www.slshop.co.kr/m/product.html?branduid=2717585>)



Weekly Today, 2022-10-28²

2.3 Can you finish making herbal medicine in 5 minutes?

[CAMELOTECH Inc.](#) is a startup that creates an "automation system for herbal medicine manufacturing for oriental medicine pharmacies."

Korean traditional medicine consumers, during the change of seasons, drink Ssanghwatang, and when you lose your energy, you visit an oriental medicine clinic to build herbal medicine every few years. The difference is that oriental medicine clinics these days do not smell of herbal medicine because they manufacture medicine separately in Wonoe-tangjeon (3rd party pharmacists). Camelotech was a company that made brand products under the title of "Fancy Hanbang." There are traditional tea-capsule product "Dalda" and Gongjindan-type product "Jinsimhyang," and in particular, "Dalda," which made decoction and deer antler compatible with coffee machines in the form of capsules, showed many concerns and efforts in terms of design and formulation. Sales of B2B types were also steadily increasing.

In addition, it has a **smart juicing system that can receive traditional medicine on the same day**. If a solid herbal medicine cartridge is made and charged as if filling printer ink, a system has been devised that can be used one-click to make an electronic chart prescription prescribed by an oriental medicine doctor. "How innovative is this?" This not only allows you to receive herbal medicine on the day, but also allows you to receive herbal medicine according to the oriental medicine doctor's prescription according to your condition. I did not have much inconvenience using the existing traditional medical clinic, but if I had something like this, I would want to go to more traditional medical clinics. There is a record that China is the birthplace of oriental medicine, and Korea developed its own medicine before the Three Kingdoms period and delivered it to Japan, but **Japanese Kampo medical companies account for about 80% of the global herbal medicine market**. By investing a lot of resources in standardization such as pharmacology, toxicity, and pharmaceutical composition analysis for herbal medicine, and systemizing strict quality control and production process management, science and technology were added to and focused on herbal medicine. This was possible because of 'standardization' and 'system'.

The current period, when the aging population is increasing and interest in oriental medicine and Korean oriental medicine is increasing, may be an opportunity to raise the status of oriental medicine not only in Korea but also in the world.

² <http://www.weeklytoday.com/news/articleView.html?idxno=537068>

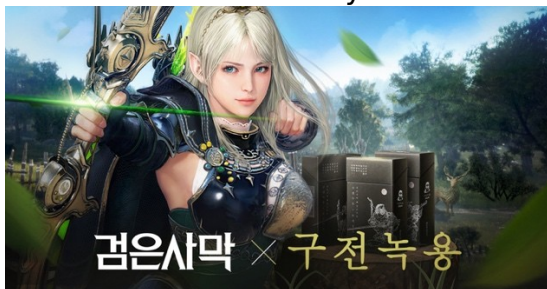


Chosun Ilbo, 2022-11-10³

2.4 Pyun-gang's Russian velvet 'Gujeon' having joint promotion with video game "Black Desert"

Pearl Abyss and Pyun-gang jointly promote its Russian velvet products which specially re-design for the event. Linked offline experience with online game users for the joint promotion. There is also a collaboration video for "Black deer velvet" on YouTube with the character of the game.

Pearl Abyss continues to carry out unique partnerships to increase the benefits of users and expand enjoyment through online and offline. In June, it launched nine collaborative products such as "Black Burger" and "Black Saatchi" in partnership with "E-Mart 24." Gum has also attracted attention as a witty product name such as Black Gum and many more including Dried seaweed.



Youth Daily, 2022-12-26⁴

2.5 More of prohibited names sound like herbal medicine which in use for food product

Currently, 92 labeling and advertisements using prescription names and similar names of herbal medicines are designated and prohibited as unfair labeling and advertisements that are feared to recognize food as medicines, and this scope will be expanded soon according to KFDS.

³

<https://www.chosun.com/economy/smb-venture/2022/11/10/7QCFHOBFBBEVNBUCZRB6E7DUQM/>

⁴ <https://www.youthdaily.co.kr/news/article.html?no=118279>

In particular, there are many cases of labeling and advertising food in the form of a combination of Gongjin, Gyeongokgo, and the name of the formulation, so marking and advertising using all the combined names, including Gongjin or Gyeongok and traditional herbal formulations (33), are prohibited.

In addition, 25 similar names for other traditional medicine prescriptions such as Sipjeon Daebogin, Daebogwan, and Daebodan were additionally reflected in the prohibited list. FoodIcon, 2022-12-29⁵

2.6 KGC's ginseng production is the largest ever...37% increase over 10 years

KGC (Korea Ginseng Corporation) procured 780kg per 10a in 2022. It is the largest production ever. KGC Ginseng Corporation explained that **ginseng production per 10a has increased 37% over the past 10 years** through research and development. The area of ginseng fields harvested through contract cultivation is 774 hectares. It is 1,100 times the size of FIFA's official soccer field (0.7ha).

KGC began developing excellent varieties in 1970, and the cumulative number of **new varieties** applications in 2012 increased **28%** in 2022. There are 40 ginseng varieties registered with the National Seed Resources, of which a single company of KGC accounts for 60% of the total.

KGC has released a variety of varieties according to the characteristics of cultivation environment and quality, such as "heaven wind" with excellent body shape and "light wind" that can be produced in large quantities, and "stethoscope" with high pathogen resistance. In the 2000s, as abnormal climate accelerated due to warming, "clearness" that is resistant to high temperatures was developed after 20 years of research. Due to the nature of ginseng, which takes nearly eight years from plantation preparation to harvest, the research period takes at least 10 to 20 years.

Recently, KGC has developed a "Sun shading facility" that can respond to abnormal weather. This small tunnel sun shading facility, which is drilled like a tunnel in the front and back, facilitates leakage and ventilation so that ginseng can be grown stably even in typhoons and heat waves. Due to global warming, Gangwon-do cultivation area has emerged as a major contract cultivation site as it is suitable for the characteristics of ginseng growth that grows well in semi-negative high temperatures.

Park Jong-gon, head of KGC Ginseng Corporation's raw material business, said, "Jungkwanjang directly purchases high-quality ginseng from contract farms and provides consumers with the best quality products," adding, "We will continue to strengthen partnerships with contract farms to create unique products."



The Food&Beverage News, 2022-12-29⁶

⁵ <https://www.foodicon.co.kr/news/>

⁶ <http://www.thinkfood.co.kr/news/>

3 News related with product launching

3.1 KGC, Cheon-nok Han-jae

Brand <Product name>	KGC Cheon-nok <Hanjae>		
Company/Manufacturer	KGC / KGC (Korea Ginseng Corp.)		
Volume and type	1,000ml (50ml x 20 pouches)	Price in KRW	120,000
Product category	Concentrate processed food	Other ingredients	Vege conc., red ginseng
Deer velvet %	1% (as concentrate)	Origin of velvet	New Zealand

Note: Velvet concentrate 1% contain 16% of deer velvet as solid conversion
Jeong Kwan-jaeng, brand of KGC (Korea Ginseng Corporation), launched a customized antlers solution called "Cheonnok Hanje" for beginners of deer velvet.

Cheonnok Hanje's main ingredient is the deer velvet concentrate and with red ginseng concentrate, soaksulfur, Gujigi, and Danggwil in an optimal ratio, and it is characterized by comfortable consumption by consumers who first encounter deer velvet due to its easy deer velvet content and soft taste.

Only the highest SAT grade was used among New Zealand's deer velvet, and KGC directly managed the raw materials in eight stages from farm selection to air-cargo import.

This is made in the form of a liquid pouch to make it easy to take and consists of 20 bags. KGC plans to **lower entry barriers to deer velvet** and increase demand for online shoppers with reasonable prices and smaller packaging.

Park Joo-yeon, head of KGC's brand division, said, "Cheonnok Hanje is a product that can be trusted even for those who are new to deer velvet by applying KGC's strict quality standards."



Chosun Biz, 2022-12-21⁷

3.2 KGC, Cheon-nok Be Strong

Brand <Product name>	KGC Cheon-nok <Be Strong>		
Company/Manufacturer	KGC / In-sung Pharm.		
Volume and type	48 g (4g x 12 balls)	Price in KRW	360,000
Product category	Processed product	Other ingredients	Red ginseng, berries
Deer velvet %	7.5%	Origin of velvet	New Zealand

Note: One of ingredient called "Red-ginseng animal and plant mixture extract liquid" in the list. Which specified for the contents of deer tail (New Zealand) 32.29% and other berries. This is 36.75% of the total product. Therefore

⁷ <https://biz.chosun.com/distribution/food/2022/12/21/TPFSKCJDQFGV5BNM2FAKXTJO4U/>

calculated amount deer tail in the product is about 11% (approx. 5g of total 48g packaging).

KGC released on 7th of Dec 2022, "Cheon-nok Be Strong" containing deer tail, black garlic, and maca in deer velvet.

"Cheon-nok" means "precious deer velvet given by heaven" and is mixture of traditional ingredients with selected deer velvet from New Zealand.

"Jeong-gwan-jang Cheon-nok" uses 100% of the highest grade (SAT) deer velvet guaranteed by the New Zealand government. The quality of deer velvet is separated into total of 30 detailed grades, and the top grade that meets difficult conditions such as the thickness of antlers, the length of their bones, length of tips, and weight is called SAT (Super A Traditional).

"Cheon-nok Be Strong" is targeted men so the ingredients are deer velvet, red ginseng, as well as deer tail. In addition, male stamina, or representative ingredients such as black garlic, maca, magnolia berry, and raspberry are added to help men's health. It is a ball shape product type, and the package design symbolizing men's power expresses the strength of deer velvet.



Chosun Biz, 2022-12-07⁸

*These two of KGC's new products above appeared more than 30 articles. Assuming it has distributed by PR agency activities however the numbers of featuring were standing out whereas other products launching news usually less than 10 articles covered for a story.

3.3 AtHome, God's agarwood

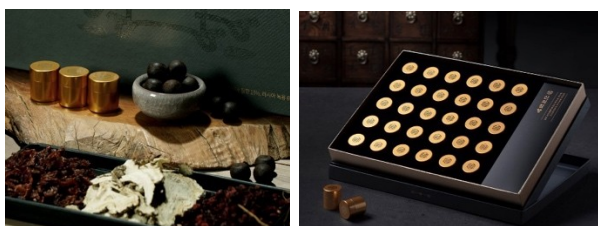
Brand <Product name>	AtHome <God's agarwood>		
Company/Manufacturer	AtHome Inc. / FarEast-H-Pharm		
Volume and type	112.5 g (3.75g x 30 balls)	Price in KRW	399,000
Product category	Processed product	Other ingredients	Agarwood, Red ginseng
Deer velvet %	6% (as powder)	Origin of velvet	Russia

God's agarwood is a product jointly developed by AtHome and FarEast-H-Pharm. FarEast-H-Pharm is a subsidiary of Daewon Pharmaceutical and a manufacturer specializing in health functional foods established in 1996.

Agarwood is a tree whose resin of acacia trees native to subtropical areas has been deposited for a long time. According to Oriental Medicine, it is a drug that is effective in improving immunity, fatigue, and strengthening energy.

God's agarwood contains high-quality Indonesian agarwood, the **all parts of Russian deer velvet**, and domestic 6-year-old red ginseng. At Home has increased its raw material content to the maximum through direct contracts with suppliers in Russia.

⁸ <https://biz.chosun.com/distribution/food/2022/12/07/K2CKMXURTVB27F4PS7YE7BEXDM/>



Newsis, 2022-12-01⁹

3.4 Chunho N Care, Energy balls

Brand <Product name>	Chunho N Care <Energy balls>		
Company/ Manufacturer	Chunho N Care / Chunho N Care		
Volume and type	240 g (4g x 60 balls)	Price in KRW	269,000
Product category	Processed product	Other ingredients	Honey, Red ginseng
Deer velvet %	Unspecify	Origin of velvet	New Zealand

Chunho N Care has released easier packaging type sub product of "Energy balls" using six years old red ginseng from Gangwon-do.

The "Energy balls" carefully selected deer velvet from **New Zealand**, whose stability has been confirmed. Used whole parts of the velvet Including the valuable (due to the low amount of extraction) tips as well.

In addition to this, a total of 13 precious raw materials such as Chimhyang, Chamdanggi, and Sansuyu were added. A total of 60 pills, twice as many as existing products, can be easily carried and consumed by every family member.



Seoul Economy, 2022-11-15¹⁰

3.5 Living Oriental Medicine Research Institute Inc. at COEX Food Week 2022

Brand <Product name>	Baragi <Gong & Chimhyang>		
Company/ Manufacturer	Living Oriental Medicine Research Institute Inc / Hanjewon		
Volume and type	150 g (5 g x 30 balls)	Price in KRW	200,000
Product category	Processed product	Other ingredients	Angelica, Cornelian, Honey
Deer velvet %	17%	Origin of Velvet	New Zealand

Brand <Product name>	Baragi <Flare up>		
Company/	Living Oriental Medicine Research Institute Inc / KGE		

⁹ https://newsis.com/view/?id=NISX20221201_0002107445

¹⁰ <https://www.sedaily.com/NewsView/26DMWFNV53>

Manufacturer			
Volume and type	300 g (10 g x 30 pouches)	Price in KRW	120,000
Product category	Liquid tea	Other ingredients	Honey, berries etc.
Deer velvet %	Unspecified	Origin of Velvet	Russia

Note: 'deer velvet fermented extract power' is listed ingredient for deer velvet

Living Oriental Medicine Research Institute Inc. participated in the COEX Food Week 2022 in November. Traditional pharmacist CEO Kim Hyun-soo and his wife have been in operation for more than 10 years, and they have been running "Baragi Oriental Pharmacy" in Cheongdam-dong.

They talk directly with customers and sell prescription traditional medicines and health products. It is also developing and selling herbal medicine products such as Hangover-relieving drug "Maldung Maldung," Ganghwa wormwood stick "Warm" to fill the warmth, and for children's in-between seasons pear & bell-flower snack "Ddorangdorang."

"Baragi Gyeong & Ok" carefully made with ginseng, Jihwang, Bokryeong, and honey etc by 120 hours of aging process. It was released in the traditional format as sticky liquid, an easier stick-type pouch, and ball types. It is recommended to take it with warm water on an empty stomach.

"Baragi Gong & Chimhyang" is a premium product developed for long-term consumption by adding **New Zealand deer velvet**, local angelica, and Cornelian Cherry.

In addition, the deer velvet and red ginseng product "Flare up," which was researched and developed by doctors from Kyung Hee University, adds 16 ingredients preferred by male such as **Russian deer velvet**, red ginseng, the five berries for son, and the five forbidden pungent roots to recharge vitality.



Aving, 2022-11-02¹¹

3.6 Handong, Hard Antler Calcium Tablets for joints

Brand <Product name>	<Hard Antler Calcium for joints>		
Company/Manufacturer	Handong Antlers Research Institute / NatureTec		
Volume and type	99 g (1100mg x 90 tablets)	Price in KRW	80,000
Product category	Health Functional Food	Other ingredients	Lactose
Deer velvet %	n/a	Origin of Hard antler	Russia

Handong Antlers Research Institute has released "**Hard Antler** Calcium Tablets for joints," for joint and bone health. It contains N-acetylglucosamine, which has been recognized for its joint and cartilage health functionality by the MFDS. It is recommended for young 40's who are prone to lack calcium intake due to irregular eating habits also for growing up kids with high calcium recommendations due to their rapid growth and development.

¹¹ <http://kr.aving.net/news/articleView.html?idxno=1773652>



BabyTimes, 2022-10-25¹²

3.7 KGC, I-Pass Power Stick

Brand <Product name>	KGC I-Pass <Power Stick>		
Company/ Manufacturer	KGC / KGC (Korea Ginseng Corp.)		
Volume and type	280 ml (20mlx14 packs)	Price in KRW	80,000
Product category	Health Functional Food	Other ingredients	Taurine, Vit-C
Deer velvet %	Unspecify	Origin of velvet	New Zealand

KGC's youth brand, I-Pass, has launched a new product called "I-Pass Power Stick."

I-Pass Power Stick has added additional ingredients such as deer velvet extract, Astragalus concentrate, L-arginine, and taurine to 6 years old red ginseng, which is the main ingredient.

This product is a stick-type pouch that is easy to carry and can be lightly consumed at schools, academies, and reading rooms. It consists of two weeks of one pack a day, so you can intensively manage your condition for 14 days during the physically burdensome test period.



Monday Paper, 2022-10-18¹³

Appendix I. Spreadsheets supplied separately

Import statistics Korean import statistics for deer velvet.xlsx	Biosecurity pass recording not HS Code based trade records. Source is Animal and Plant Quarantine Agency (농림축산검역본부 ¹⁴)
Imports list Korean imports list for deer velvet.xlsx	Number of trade recording by food importers and products they imported. Source is Imported Food Information Maru website (수입식품정보마루 ¹⁵)
Food products Deer velvet food products in	Accumulated food product list over recent years. Based on various news article about product launching mostly supplied originally by the brand owner as a press release activity.

¹² <http://www.babytimes.co.kr/news/articleView.html?idxno=61253>

¹³ <http://www.wolyo.co.kr/news/articleView.html?idxno=213497>

¹⁴ <http://eminwon.qia.go.kr/statistics/> (품목-국가별 수출입현황)

¹⁵ <https://impfood.mfds.go.kr/CFCCC01F01>

[Korea.xlsx](#)

In 2022, total 25 new product release articles out.
(In 2021, 33 products and in 2020 42 products)